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North America Hardware & Storage and Hardware

Coverage Rankings Update

CITI'S TAKE

We update our coverage rankings post earnings and post recent CITI TMT conference. [AI demand and capex](#) remain a key driver of robust demand and meaningful backlog across our coverage with visibility extending via long term contracts, rising backlog and in some cases customer deposits/prepayments.

We are incrementally more bullish on connectivity components where demand is broadening beyond IT Datacom with Defense which appears to be a multi quarter secular demand driver with significant growth potential, alongside power and energy infrastructure-related demand. We are [opening a positive Catalyst Watch](#) on Amphenol. Within storage, we expect HDD and NAND shares to remain correlated. We prefer HDD to NAND given lower level of competitive intensity, capex discipline and margin expansion potential.

Enterprise OEMs are benefitting from infrastructure modernization alongside increasing enterprise AI adoption, driven by escalating tokenomics costs, rising concerns around data security and, data gravity. Heightened backlog is supportive of a multi-year supercycle, with revenues gated by supply constraints. The ability to secure and manage supply is becoming a critical competitive moat which allows companies with scale to gain share. DELL, HPE and AAPL remain our preferred OEMs.

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See Appendix A-1 for Analyst Certification, Important Disclosures and Research Analyst Affiliations.

Each of the companies in our coverage group is uniquely positioned and we use quarterly rankings to show our relative preferences based on stock performance, end market observations, and upcoming catalysts

Figure 1. Components Ranking

Rating	Ranking	Prior Ranking	Company Name	Current Price	Target Price	Div Yield (%)	Expected Total Return
Buy	1	5	Amphenol	83.92	105.00	1%	26%
<i>Diversified End Markets; Lead Interconnect in AI/Data Center; Defense Spending Accelerating; Industrial Recovery</i>							
Buy	2	4	Corning	166.40	220.00	1%	33%
<i>Optimistic demand outlook for Optical given AI DC; Solar Opportuntiy; Strong domestic footprint</i>							
Buy	3	2	Seagate	829.98	1,300.00	0%	57%
<i>HDD demand led by hyperscalers, tight supply demand balance; Capital Allocation</i>							
Buy	4	3	Western Digital	446.91	740.00	0.13%	66%
<i>HDD demand led by hyperscalers, tight supply demand balance, Capital Allocation</i>							
Buy	5	1	Sandisk	1,633.35	2,100.00	0%	29%
<i>SSD demand led by Enterprise, Favorable NAND Trends and Product Mix</i>							
Buy	6	NA	Belfuse Inc	-250.36	325.00	0%	30%
<i>Broader Secular Trends in Defense, Aerospace and IT Infrastructure coupled with margin expansion</i>							
Buy	7	6	TE Connectivity	211.96	230.00	1%	10%
<i>Stabilized auto segment representing a significant portion of sales; Improving Industrial and AI Demand</i>							

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Source: Citi Research

Figure 2. OEM/Distributor Rankings

OEMs/Distributors							
Rating	Ranking	Prior Ranking	Company Name	Current Price	Target Price	Div Yield (%)	Expected Total Return
Buy	1	1	Dell Technologies	567.29	600.00	0%	6%
Leading AI server supplier to neoclouds, sovereigns, enterprise; Storage attach to drive higher margins;							
Buy	2	2	Hewlett Packard Enterprises	62.09	76.00	1%	23%
Improving mainstream server and networking trends, AI driving TAM expansion in Servers and Scale Up Networking, FCF conversion improving							
Buy	3	NA	AAPL	332.27	365.00	0%	10%
Share gains attributable to its premium customer base and component access. Enhanced Siri AI capabilities to enhance Services segment growth and drive iPhone upgrades							
Buy	4	4	Everpure	98.18	130.00	0%	32%
Proprietary software provides advantage over peers' SSD based solutions. Plus accelerated shift to subscriptions. Additional hyperscaler win announced							
Buy	5	3	Logitech	102.70	120.00	2%	18%
Secular trends in gaming, video conferencing and content creation. Strong FCF generation							
Neutral	6	5	NetApp	199.19	190.00	1%	-4%
Storage TAM seeing AI driven growth, solid cash flow and capital returns program.							
Neutral	7	7	CDW	153.79	150.00	2%	-1%
Infrastructure modernization spending partially offsetting softer near-term PC demand trends, with mix-related margin pressures reflected in undemanding valuation							
Neutral High Risk	8	6	Super Micro	40.10	39.00	0%	-3%
Continues to benefit from broader secular trends in AI-driven infrastructure. Margin volatility is a concern, coupled with FCF generation and need for additional capital							
Neutral	9	8	HP Inc	35.48	25.00	3%	-26%
PC units to decline yoy limiting margin expansion potential							
Neutral High Risk	10	9	Xerox	3.43	3.45	3%	3%
Flat to declining printer market, major restructuring underway, pivot to IT Services likely to take time.							

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Companies Mentioned:

Amphenol Corp (APH.N; US\$83.92; 1; 11 Sep 26; 16:00)

Apple, Inc. (AAPL.O; US\$332.27; 1; 11 Sep 26; 16:00)

Bel Fuse Inc (BELFB.O; US\$250.36; 1; 11 Sep 26; 16:00)

CDW Corp (CDW.O; US\$153.79; 2; 11 Sep 26; 16:00)

Corning Incorporated (GLW.N; US\$166.4; 1; 11 Sep 26; 16:00)

Dell Technologies (DELL.N; US\$567.29; 1; 11 Sep 26; 16:00)

Everpure, Inc (P.N; US\$98.18; 1; 11 Sep 26; 16:00)

Hewlett Packard Enterprise (HPE.N; US\$62.09; 1; 11 Sep 26; 16:00)

HP Inc (HPQ.N; US\$35.48; 2; 11 Sep 26; 16:00)

Logitech International (LOGI.O; US\$102.7; 1; 11 Sep 26; 16:00)

NetApp Inc. (NTAP.N; US\$199.19; 2; 11 Sep 26; 16:00)

Sandisk Corp (SNDK.O; US\$1633.35; 1; 11 Sep 26; 16:00)

Seagate Technology Holdings PLC (STX.N; US\$829.98; 1; 11 Sep 26; 16:00)

Super Micro Computer, Inc. (SMCI.O; US\$40.1; 2H; 11 Sep 26; 16:00)

TE Connectivity Ltd. (TEL.N; US\$211.96; 1; 11 Sep 26; 16:00)

Western Digital (WDC.N; US\$446.91; 1; 11 Sep 26; 16:00)

Xerox Holdings Corp. (XRX.O; US\$3.43; 2H; 11 Sep 26; 16:00)

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Appendix A-1

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